Scout AI Group

PROPOSAL · DRAFT FOR REVIEW

BCJS Operations Control System

One record from enquiry to final account. Native to Microsoft 365 and Xero. Prepared for Bespoke Construction & Joinery Solutions Ltd.

Client	Bespoke Construction & Joinery Solutions Ltd
For the attention of	Lucy Milne, Business Operations & Development Manager; Emma Milne
Prepared by	Stuart Arthur, Scout AI Group
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1. Executive summary

BCJS runs on Xero, Microsoft 365, spreadsheets and memory. The job is known well by the people on it. It is not known in one place. Overspends surface at the valuation, not the week they happen. Paperwork gaps surface on site, not before.

Scout will deliver the BCJS Operations Control System: one project record from enquiry to final account. Staff sign in with their Microsoft 365 accounts. Documents live in SharePoint. Approvals arrive in Teams. Approved costs flow into Xero without retyping. An AI layer drafts estimates, RAMS, site diaries and invoice entries for a person to confirm.

The MVP is live on BCJS's current jobs in four weeks: orders, Xero costs, a cost report per job and the site app. The rest follows in three phases, with the full system in place by week 18. Each phase is signed off when a real BCJS job passes through it in front of a witness.

There are two ways to buy it. Option 1: BCJS pays a fixed fee per phase and owns the software and IP outright, £49,500 in total. Option 2: BCJS subscribes to the platform as a service; Scout hosts and runs it, and BCJS pays a £10,000 implementation fee and an £895 monthly subscription that includes hosting, AI, support and every future release. Section 6 sets out both, with a three- and five-year cost comparison.

Option 2 sits inside the budget BCJS has been quoted elsewhere. Option 1 costs more because BCJS buys the software outright and owes nobody a subscription. Either way, the money buys more than the other quotes: Microsoft 365 sign-in, SharePoint, Outlook and Teams built in, Xero integration, a site app that works with no signal, an AI layer, and a witnessed sign-off on every release. That is possible at this price because Scout delivers with 10×, our AI-native delivery system, rather than billing teams by the day.

2. Your context

2.1 What we heard

- Enquiries, tenders, orders and variations are tracked across email, Xero and spreadsheets. The process map exists; the system to enforce it does not.
- Committed spend is invisible until the invoice lands, so margin is known a month late.
- Sites are rural. Signal is poor. Anything that needs a connection on site will not be used.
- Heritage and listed work raises the bar on evidence: lime specifications, conservation correspondence, photographs and RAMS must be provably in place.
- The team wants a system that reflects how each department works, built with their input rather than handed to them.

2.2 What this proposal addresses

The full scope of the BCJS Build Programme (twenty sections, six releases), rebuilt on BCJS's own Microsoft 365 and Xero, with AI across the job lifecycle. A clickable prototype of the target experience is already available for the team to explore before anything is signed.

3. Approach

We do not sell hours. We scope outcomes, agree a fixed fee per phase, and deliver using 10×, our AI-native delivery system. How we deliver is our business. What we deliver is yours.

The order follows value, not the order of the process map. The first thing BCJS gets is control of what live jobs cost, because that is where margin is lost today. Winning work, compliance and close-out follow, each on the same project record.

PHASE	OUTCOME	TIMING
Phase 1 MVP: control live jobs	Live on BCJS's current jobs. Microsoft 365 sign-in, orders with Teams approvals, Xero bills and payments read back against each job, a cost report and director dashboard, variations register, and the site app working with no signal	Weeks 1 to 4, live in week 4
Phase 2: win work	Enquiry pipeline, site survey on a phone, estimating with rate card and AI scope drafting, quotes from Outlook, acceptance via Acrobat Sign, award carries the price into the budget	Weeks 5 to 8
Phase 3: start properly, get paid	Compliance and expiry alerts, RAMS with AI drafting, start-on-site gate, 13-week cash flow with scenarios, valuations and sales invoices pushed to Xero, AI invoice scanning	Weeks 9 to 12
Phase 4: finish and learn	Snagging, handover packs, final account and retention, win/loss reporting, GDPR tooling, Copilot agent, penetration test sign-off	Weeks 13 to 18

Week 1 of the MVP is a discovery sprint: cost codes, approval limits and the live job list are agreed on day 3, so build starts against real BCJS data. In the MVP, Xero is read-only (bills, payments, contacts). Writing to Xero starts in Phase 3, once the penetration test has passed.

4. Scope and deliverables

Each phase ends on a witnessed sign-off: a real job passes through it end to end, without anyone opening a spreadsheet or the database. Anything not listed is out of scope and handled through a signed change note.

DELIVERABLE	DESCRIPTION	ACCEPTANCE
D1 MVP platform (Phase 1)	UK-hosted, Microsoft 365 sign-in, roles, append-only audit, projects with cost codes and budgets imported from current sheets, SharePoint project folders linked	Each role signs in with M365 and sees only its permitted jobs and figures
D2 MVP cost control (Phase 1)	Purchase orders with approval bands and Teams approval, Xero bills and payments matched to orders, cost report per job, variations register, director dashboard	A PO approved in Teams shows as committed cost the same day; a Xero bill lands against the right job and code
D3 MVP site app (Phase 1)	Installable site app: dictated diary, time against cost code, photos, all working with no signal	An entry made offline syncs when signal returns, with nothing lost
D4 Win work (Phase 2)	Enquiries, survey, estimating, quotes from Outlook, Acrobat Sign acceptance, award	An enquiry becomes a won job with its budget carried, no retyping
D5 Start and get paid (Phase 3)	Compliance registers, RAMS, start gate, cash flow, valuations and sales invoices to Xero, invoice scanning	A job with lapsed insurance cannot start without a recorded override; cash forecast moves the day a PO is approved
D6 Finish and learn (Phase 4)	Snagging, handover packs, final account, retention alerts, win/loss, GDPR tooling, Copilot agent	A job cannot close with critical snags or an unaccepted pack
D7 Handover	Training for office and site at each phase, admin guide, runbooks, assurance pack	BCJS administrators run user and role changes without Scout

4.1 Out of scope

- Replacing Xero as the accounting ledger. Xero stays the ledger.
- Microsoft 365 licence changes, device management and email migration. Scout will advise on licence level in week 1.
- Migration of historic closed jobs beyond the live projects and current-year estimates.
- Hardware such as NFC tags or tablets.

5. Governance, assurance and evidence

Governance is not a workstream added at the end. Each gate produces the artefacts an auditor, insurer or client asks for, as a by-product of delivery.

GATE	CONTROL	EVIDENCE PRODUCED
Gate 01 Scope and risk	UK GDPR data protection impact assessment, ICO registration check, processor agreements (Microsoft, Xero, Adobe, AI provider)	DPIA, processing register, decisions register
Gate 02 Build and test	Server-side permissions, tenant isolation tests, money handled in whole pence, AI outputs confirmed by a person	Test reports, change log, AI evaluation results
Gate 03 Live and assure	Monitoring and alerting, tested backups, penetration test before the system writes to Xero (Phase 3), NCSC Cloud Security Principles, Cyber Essentials Plus alignment	Monitoring plan, restore rehearsal record, pen test report, named owner

6. Commercials

Two options. Both deliver the same system on the same timetable. They differ in who owns the software and how it is paid for. BCJS owns its data under both, always.

6.1 Option 1: BCJS owns the software and IP

Fixed fee per phase. On payment of each phase, the IP in the software built for BCJS is assigned to BCJS. Code lives in a BCJS GitHub organisation and runs in BCJS's own Azure tenant. BCJS can take it to any supplier.

RELEASE	BASIS	FEE
Phase 1 MVP: control live jobs (weeks 1 to 4)	Fixed fee	£19,500
Phase 2: win work (weeks 5 to 8)	Fixed fee	£11,000
Phase 3: start properly, get paid (weeks 9 to 12)	Fixed fee	£10,500
Phase 4: finish and learn (weeks 13 to 18)	Fixed fee	£8,500
Total build	Fixed fee	£49,500
Support & maintenance (optional, from the end of Phase 4)	Monthly retainer	£295 per month
Hosting, AI usage and third-party subscriptions	Paid by BCJS direct, at cost	Estimated £150 to £350 per month

- Each phase is invoiced 40% at start and 60% on witnessed sign-off.
- Support retainer covers security patches, platform updates, the Xero and Microsoft API changes that keep integrations working, UK business-hours support, and up to half a day a month of small enhancements.
- Scout keeps ownership of its pre-existing tools and components, licensed to BCJS perpetually and royalty-free as part of the system.

6.2 Option 2: SaaS subscription

Lower upfront cost. Scout hosts, runs, supports and improves the platform. BCJS pays an implementation fee to set it up around how BCJS works, then a monthly subscription. Improvements Scout makes for the wider construction product reach BCJS at no extra cost.

ITEM	BASIS	FEE
Implementation: discovery sprint, configuration to BCJS processes, Microsoft 365 and Xero connection, live job migration, training; MVP live in week 4	Fixed fee	£10,000
Subscription: all modules as each phase releases, unlimited BCJS staff and subcontractor users, UK hosting, AI usage within fair use, support and updates	Monthly, from MVP go-live	£895 per month
Initial term	36 months from MVP go-live, then rolling 12 months	Annual uplift capped at CPI

- Implementation is invoiced 50% on signature and 50% at MVP go-live. The subscription is billed monthly in advance.
- BCJS data is BCJS's. It can be exported at any time in open formats, and is returned in full on exit.
- Fair use for AI covers typical SME volumes, for example up to 500 document extractions and 1,500 assistant questions a month. Scout will agree a usage review if volumes exceed this.

6.3 Comparing the options

MEASURE	OPTION 1: BCJS OWNS	OPTION 2: SAAS
Cost in the first 12 months	£54,315	£19,845
Cost over 3 years	£67,395	£41,325
Cost over 5 years	£80,475	£62,805
Who owns the software	BCJS	Scout; BCJS subscribes
Who runs and patches it	Scout under retainer, or any supplier	Scout, included
Future product improvements	Commissioned separately	Included
Best for	BCJS wants to own and control the system outright	BCJS wants the lowest upfront cost and a managed service

Comparison assumptions: the MVP goes live in month 2 and Phase 4 completes in month 5. Option 1 includes the optional support retainer from month 6 and running costs at an estimated £250 a month from month 2. Option 2 subscription runs from month 2 with no uplift applied. All fees exclude VAT. Option 2 costs less in cash over five years. Option 1 costs more because BCJS owns the software from day one, with no subscription and no dependency on Scout to keep using it.

- Fees are exclusive of VAT and any pre-agreed travel.
- No variation to fee or scope takes effect without a change note signed by both parties.

7. Assumptions and dependencies

REF	ASSUMPTION OR DEPENDENCY	OWNER
A1	A Microsoft 365 Global Admin grants app consent on day 1 of the MVP; a shared estimating mailbox is ready by week 5	BCJS
A2	Xero adviser access and consent to connect the BCJS organisation by the end of MVP week 1	BCJS
A3	Lucy Milne is product owner and available daily in MVP week 1; a named process owner per department joins each phase sign-off	BCJS
A4	Cost codes, approval limits and the live job list (budgets, open orders) agreed by day 3 of the MVP	BCJS
A5	Microsoft 365 licence level confirmed in MVP week 1; Teams approvals may need Business Standard or above	BCJS
A6	Live project and current-year estimate data available for migration in usable form (Excel or export)	BCJS
D1	Xero and Microsoft API terms and pricing remain available on current terms	Third party

8. Team

NAME	ROLE	COMMITMENT
Stuart Arthur	Engagement lead and product owner for Scout	Throughout, weekly with BCJS
Scout delivery team	AI-native engineering, design and test using 10×	Per phase
Scout assurance lead	Security, data protection and release sign-off	At each gate
Lucy Milne (BCJS)	Product owner, phase signatory	Daily in MVP week 1, then weekly
BCJS department leads	Process owners: commercial, finance, site, H&S	Workshops and witnessed sign-offs

9. Next step

Explore the prototype with the team and log feedback against each screen. Then choose an option. The MVP clock starts with a half-day session on BCJS's real jobs, so the team sees the system working on their own work rather than hearing it described. Four weeks later it is running those jobs.

To proceed, confirm your preferred option by reply and we will issue the engagement letter within two working days.

Acceptance

FOR BESPOKE CONSTRUCTION & JOINERY SOLUTIONS LTD	FOR SCOUT AI GROUP
Option chosen	Option chosen
Signature	Signature
Name	Name
Role	Role
Date	Date